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Report Name: Oilseeds and Products Update

Country: Indonesia

Post: Jakarta

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Prepared By: Arif Rahmanulloh

Approved By: Lisa Ahramjian

Report Highlights:

Indonesia's palm oil export estimate is revised down from the previous estimate to 22.8 MMT in 2024/25 due to the B40 mandate and reduced export demand. Soybean consumption is expected to remain flat at 2.8 MMT in 2024/25 amid weak consumer purchasing power. Lower prices encouraged imports of soybeans and soybean meal, but depreciation of the Indonesian Rupiah and weak demand slowed this trend.

Oil, Palm

Production

Post maintains Indonesia's palm oil production estimate for 2025/26 at 47 million metric tons (MMT), up 3 percent from 45.5 MMT in 2024/25 on expected improved yield from favorable weather and adequate fertilizer application (see [ID2025-0015](#)).

The local weather agency ([BMKG](#)) predicted a delayed onset of the dry season, marked with prolonged rainfall during April to July 2025. According to BMKG, only about 30 percent of the seasonal zones had transitioned to the dry season by late June, compared to the usual 64 percent. The weather agency data indicates that Sumatra and parts of Kalimantan, key palm oil production areas, experienced above-normal rainfall, hindering the transition to typical dry conditions. Post expects the current above-normal rainfall has not significantly affected fruit harvest and transport.

Consumption

Indonesia's biodiesel industry has boosted domestic palm oil consumption over the past decade. In early 2025, the biodiesel mandate increased from 35 to 40 percent bio content (B40), with an annual allocation of 15.6 billion liters. By May 2025, biodiesel distribution for the increased blend mandate program came in line, reaching 5.85 billion liters, or 38 percent of the yearly target. Post maintains palm oil industrial use at 14.7 MMT and 14.9 MMT for 2024/25 and 2025/25 respectively.

On the higher blending rate mandate plan, the GOI has completed the B50 technical test and will move forward to the road test. However, the nationwide B50 rollout, which is planned for 2026, will depend on sufficient subsidy funds to cover 18–20 billion liters of biodiesel and additional production capacity.

The palm oil use estimate in the food sector remains unchanged at 7.4 MMT for 2025/26, a 1 percent increase from 2024/25 on continued demand largely from the cooking oil industry. Post expects palm oil use to reach 22.4 MMT for 2024/25 and rise by 1 percent to 22.6 in 2025/26, assuming no changes to the blend rate mandate program.

Trade

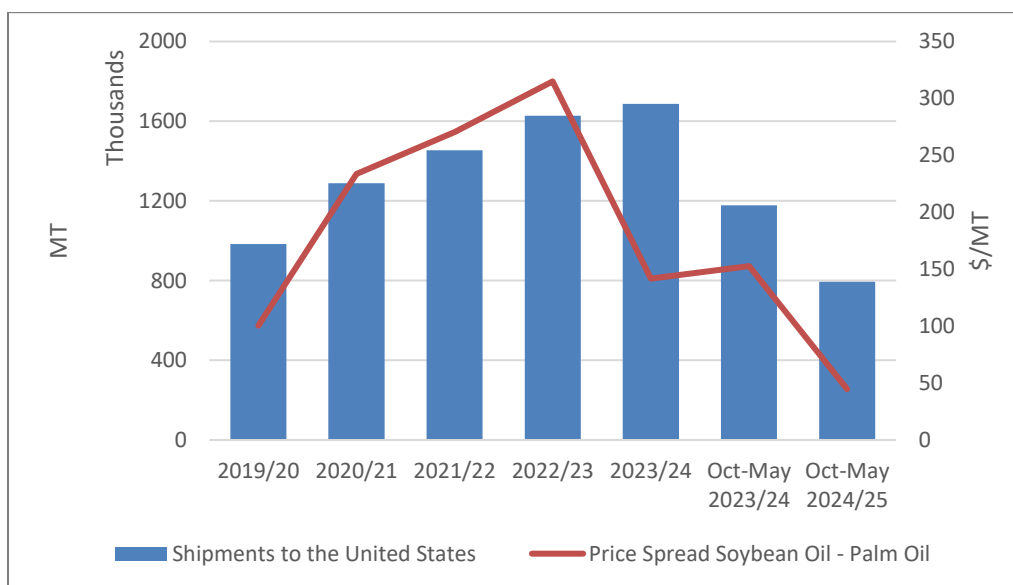
Post maintains its Indonesian palm oil exports forecast at 24 MMT for 2025/26. This reflects a 5 percent increase from Post's revised 2024/25 estimate of 22.8 MMT, which was revised down from the previous estimate on lower exportable volume and reduced demands from key markets.

Palm oil shipments from October 2024 to May 2025 reached 14 MMT, 3 percent lower than the corresponding period last year. Over the same period, palm oil prices rose 24 percent compared to same period last year, faster than other vegetable oils such soybean oil which rose only 7 percent. Higher shipments to Pakistan and Bangladesh were unable to offset decreasing combined demand from India, China, and the United States. A narrowed price spread with other competing vegetables oils has pushed buyers to switch to non-palm oil. Shipments to the United States also decreased 32 percent due to higher prices and tariff-related uncertainty, but are expected to rebound as the palm oil price began to stabilize in May 2025.

After the April 2, 2025 announcement, many Indonesian palm oil exporters initially worried about Indonesian exports to the United States being subject to a 32 percent reciprocal tariff rate compared with Malaysian-origin

products' 24 percent. However, exporters faced optimism after the July announcements that both countries would be subject to a 19 percent tariff. The conclusion of Indonesia-European Union trade agreement (IEU-CEPA) in July 2025 is also expected to provide reduced tariffs in the EU markets. The implementation date of the agreements with the United States and the EU are not yet known.

Figure 1. Indonesia Palm Oil Shipment to United States and Price Spread with Soybean Oil



Source: Trade Data Monitor (TDM), LLC

Table 1. Production, Supply and Distribution for Palm Oil, 2023/24-2025/26

Oil, Palm Market Year Begins Indonesia	2023/2024		2024/2025		2025/2026	
	Oct 2023		Oct 2024		Oct 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	13500	13500	14000	14400	14200	14400
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	5107	5107	4760	4760	4885	5100
Production (1000 MT)	43000	43000	46000	45500	47500	47000
MY Imports (1000 MT)	1	1	0	0	0	0
Total Supply (1000 MT)	48108	48108	50760	50260	52385	52100
MY Exports (1000 MT)	22273	22273	22600	22800	24000	24000
Industrial Dom. Cons. (1000 MT)	13500	13500	15300	14700	15500	14900
Food Use Dom. Cons. (1000 MT)	7300	7300	7500	7350	7750	7400
Feed Waste Dom. Cons. (1000 MT)	275	275	475	310	275	310
Total Dom. Cons. (1000 MT)	21075	21075	23275	22360	23525	22610
Ending Stocks (1000 MT)	4760	4760	4885	5100	4860	5490
Total Distribution (1000 MT)	48108	48108	50760	50260	52385	52100
Yield (MT/HA)	3.1852	3.1852	3.2857	3.1597	3.3451	3.2639
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Oilseeds, Soy

Production

Post's 2025/26 soybean production forecast is unchanged at 320,000 MT, a 6 percent decline from 2024/25 on expected smaller harvested area. Post revised down 2024/25 soybean production by 10,000 MT to 340,000 MT based on farmers' preference for non-soybean crops during higher-than-normal rainfall from April to July 2025. In several regions of West Java, many farmers in rainfed areas take advantage of the higher water supply to grow more profitable crops such corn and paddy.

Consumption

Post maintains soybean consumption forecasts at 3 MMT for 2025/26, a 2 percent increase from 2024/25 of 2.95 MMT on continued demand from the food sector. Indonesia's tempeh and tofu industries are the main consumers of imported soybeans, due to consistency of supplies, quality, color, and size. The tempeh industry largely consists of small size, family-run businesses, which each use about 100-200 kg of soybeans per day.

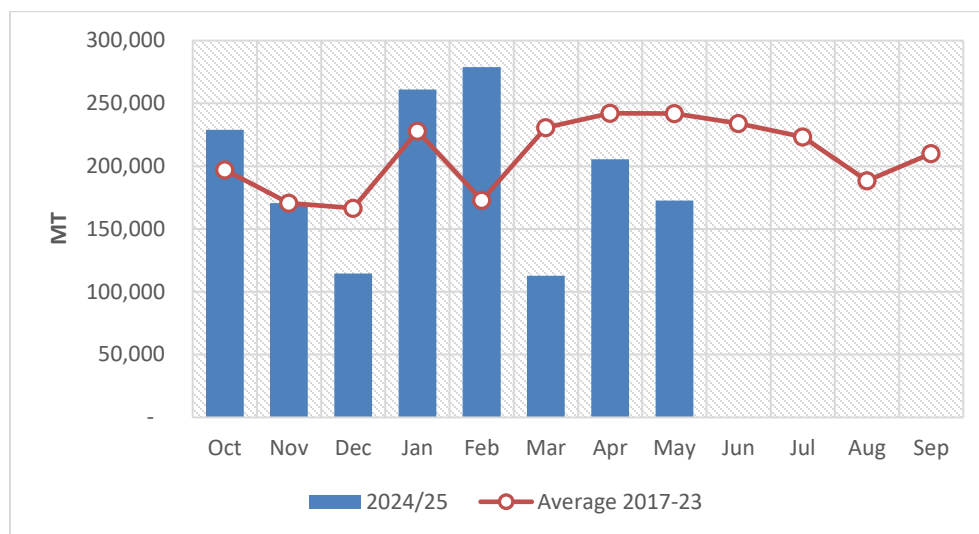
Once fully implemented, President Prabowo's flagship Free Nutritious Meals Program (MBG) is expected to strengthen soy-based food consumption due to its ability to provide affordable protein and its availability in most of the country. However, [as of July 2025](#), the MBG has reached about 7 million beneficiaries, which is about 8 percent of the national target of 82.9 million beneficiaries.

Trade

Post expects soybean imports at 2.7 MMT in 2025/26 on expected continued demand from tempeh and tofu producers. Soybean shipments reached 1.5 MMT from October 2024 to May 2025, one percent higher than the corresponding period in 2023/24. Despite the international price for soybeans declining 20 percent over the same period, importers were restrained by depreciation of the Indonesian Rupiah. Assuming stability for international soybean prices and the exchange rate for the remainder of 2024/25, Post revises up its soybean import estimate to 2.65 MMT for 2024/25. Currently, the retail price for soybeans in most of Java Island is between IDR 9000 to IDR 9,500 per kg.

The United States is expected to remain the primary supplier for soybean imports, followed by Canada with 88 percent and 10 percent market share respectively in 2024/25. Soybeans enter Indonesia duty free from all origins.

Figure 2. Indonesia Soybean Imports 2024/25



Source: Trade Data Monitor (TDM), LLC

Table 2. Production, Supply and Distribution for Soybean, 2023/24-2025/26

Oilseed, Soybean Market Year Begins Indonesia	2023/2024		2024/2025		2025/2026	
	Oct 2023		Oct 2024		Oct 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	330	330	330	320	290	310
Area Harvested (1000 HA)	320	320	310	310	290	290
Beginning Stocks (1000 MT)	100	100	129	129	177	162
Production (1000 MT)	375	375	350	340	320	320
MY Imports (1000 MT)	2567	2567	2650	2650	2750	2700
Total Supply (1000 MT)	3042	3042	3129	3119	3247	3182
MY Exports (1000 MT)	3	3	2	2	2	2
Crush (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	2760	2760	2800	2800	2900	2850
Feed Waste Dom. Cons. (1000 MT)	150	150	150	155	155	155
Total Dom. Cons. (1000 MT)	2910	2910	2950	2955	3055	3005
Ending Stocks (1000 MT)	129	129	177	162	190	175
Total Distribution (1000 MT)	3042	3042	3129	3119	3247	3182
Yield (MT/HA)	1.1719	1.1719	1.129	1.0968	1.1034	1.1034
(1000 HA) ,(1000 MT) ,(MT/HA)						
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Meal, Soy

Production

Production Indonesia does not produce soybean meal.

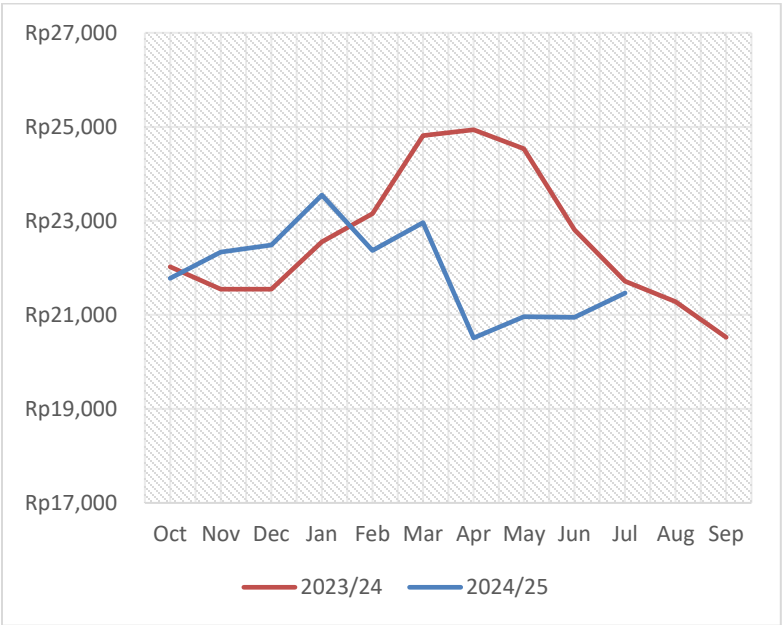
Consumption

Post revises soybean meal consumption for 2024/25 to 5.4 MMT on higher demand from the poultry feed industry. The soybean meal consumption forecast for 2025/26 is also slightly up to 5.5 MMT on continued demand from the feed sector.

Demand for poultry feed was higher since many smallholders withheld their live birds from the market due to weak broiler prices from April to June 2025. Higher feed demands were also possible since the cost of major feed ingredients decreased between 23 to 38 percent in the first semester of 2025 compared to the second semester of 2024.

Indonesia’s poultry sector continues to utilize most of the soybean meal. Of 94 feed millers across Indonesia, 90 are linked to the poultry feed sector (both broiler and layer) with soybean meal typically constituting 25 percent of the feed composition.

Figure 3. Lower Broiler Price in 2025



Source: Ministry of Agriculture

Trade

Post revises up the estimate for soybean meal imports for 2024/25 to 5.5 MMT on softened soybean meal prices and continued demand from the poultry feed industry. Compared to the corresponding period a year before, soybean meal shipments from South America rose by 28 percent from October 2024 to May 2025. Over the same period, soybean meal prices decreased 23 percent. The 2025/26 soybean meal import forecast is unchanged at 5.5 MMT.

South American origins are expected to remain dominant in the market based on competitive prices, accounting for more than 95 percent of soybean meal imports. Since soybean meal is a raw material for industrial use, it enters duty-free from all origins.

Table 3. Indonesia Soybean Meal Imports 2019-2025 (thousand MT)

	2019/20	2020/21	2021/22	2022/23	2023/24	2023/24 Oct-May	2024/25 Oct-May
Brazil	2,001	2,135	2,540	3,349	3,940	2,774	2,903
Argentina	2,909	2,726	2,865	1,947	888	327	1,062
U.S.	100	249	24	116	167	138	121
Paraguay	20	59	96	-	42	-	18
ROW	13	186	11	22	18	7	21
Total	5,043	5,356	5,535	5,434	5,055	3,246	4,125

Source: Trade Data Monitor (TDM), LLC

Table 4. Production, Supply and Distribution for Soybean Meal, 2023/24-2025/26

Meal, Soybean Market Year Begins Indonesia	2023/2024		2024/2025		2025/2026	
	Oct 2023		Oct 2024		Oct 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	0	0	0	0	0	0
Extr. Rate, 999.9999 (PERCENT)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	251	251	106	106	366	206
Production (1000 MT)	0	0	0	0	0	0
MY Imports (1000 MT)	5055	5055	6000	5500	6100	5500
Total Supply (1000 MT)	5306	5306	6106	5606	6466	5706
MY Exports (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	5200	5200	5740	5400	6100	5500
Total Dom. Cons. (1000 MT)	5200	5200	5740	5400	6100	5500
Ending Stocks (1000 MT)	106	106	366	206	366	206
Total Distribution (1000 MT)	5306	5306	6106	5606	6466	5706
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Attachments:

No Attachments